

25STCV37302 25STCV37302

County: los-angeles

Division: Civil Law and Motion

Department: 517

Hearing date: 2026-09-22

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C517%2C09%2F22%2F2026

Source SHA-256: 7d991721c9f419e30df307d0a6905626e327ae489bc6aec84aadbfadcb83103

Case Number: 25STCV37302 Hearing Date: September 22, 2026 Dept: 517

Plaintiff

Francesca Webb aka Francesca Farago ("Webb") sued Defendant Walnut & Brass ("W&B's") and its principal Sachin Patel ("Patel") in connection with a contract for W&B's renovation of residential property that Webb owned ("the Project"). Webb alleges that W&B was the general contractor on the Project. Webb also sued several subcontractors that were involved in the Project. Webb's complaint asserts claims for rescission of contract based on public policy and fraud; negligence; breach of contract; and breach of the implied covenant of good faith and fair dealing.

Pending before the

Court is W&B's motion to compel arbitration of Webb's claims against it. The Court is denying the motion on the ground that is unenforceable under Business and Professions Code section 7191 ("section 7191").

W&B's motion

is based on an arbitration provision in the agreement between W&B and Webb for the Project ("the Agreement"). The Agreement is printed. It is titled AIA Document A112-2021 and is attached as an exhibit to declaration that Patel submitted in support of W&B's motion. The Agreement defines W&B as "the Builder," and Webb as "the Owner. The signature line of the Agreement bears the signatures of Webb and Patel, who executed on behalf of W&B. Section 14.2 of the Agreement contains the arbitration provision. Its text states as follows:

§ 14.2 Binding Dispute Resolution

§ 14.2.1 The method of binding dispute resolution shall be as follows:

(Check the appropriate box.)

☒ Arbitration

☐ Litigation in a court of competent jurisdiction

☐ Other (Specify)

.

Next, 14.2.2 states

that if the parties have selected arbitration as the dispute resolution method, the arbitration shall be administered by the American Arbitration Association. 14.2.3 states that mediation is a prerequisite to arbitration.

“Arbitration” was

selected as the dispute resolution method as evinced by the “X” next to “Arbitration” in the “box” for the selection of a dispute resolution method.

In her opposition to

W&B's motion to compel arbitration, Webb argues notwithstanding the check mark in section 14.2 of the Agreement selecting arbitration as the dispute resolution method and her signature on the Agreement, the arbitration provision is unenforceable because it does not comply with section 7191. Webb is correct. Thus, W&B's motion must be denied.

Section 7191 governs

arbitration provisions in a contract for work on residential property with four or fewer units. Webb's property that was the subject of the Project falls within the ambit of section 7191. W&B does not contend otherwise.

Section 7191, subdivision

(a) states that arbitration provisions in contracts governed by the statute “shall be clearly titled ‘ARBITRATION OF DISPUTES.’” (Bus. & Prof. Code, § 7191, subd. (a).) Subdivision (a) goes on to state that “[i]f a provision for arbitration is included in a printed contract, it shall be set out in at least 10-point roman boldface type or in contrasting red print in at least 8-point

roman boldface type, and if the provision is included in a typed contract, it shall be set out in capital letters.” (Ibid.)

Section 7191

subdivision (b) sets forth further requirements. It states that “[i]mmediately before the space for parties to indicate their assent to the arbitration provision, the following notice must appear:

‘NOTICE: BY INITIALING IN THE SPACE BELOW YOU ARE AGREEING TO HAVE ANY DISPUTE ARISING OUT OF THE MATTERS INCLUDED IN THE ¿ARBITRATION OF DISPUTES’ PROVISION DECIDED BY NEUTRAL ARBITRATION AS PROVIDED BY CALIFORNIA LAW AND YOU ARE GIVING UP ANY RIGHTS YOU MIGHT POSSESS TO HAVE THE DISPUTE LITIGATED IN A COURT OR JURY TRIAL. BY INITIALING IN THE SPACE BELOW YOU ARE GIVING UP YOUR JUDICIAL RIGHTS TO DISCOVERY AND APPEAL, UNLESS THOSE RIGHTS ARE SPECIFICALLY INCLUDED IN THE ¿ARBITRATION OF DISPUTES’ PROVISION. IF YOU REFUSE TO SUBMIT TO ARBITRATION AFTER AGREEING TO THIS PROVISION, YOU MAY BE COMPELLED TO ARBITRATE UNDER THE AUTHORITY OF THE BUSINESS AND PROFESSIONS CODE OR OTHER APPLICABLE LAWS. YOUR AGREEMENT TO THIS ARBITRATION PROVISION IS VOLUNTARY.’ “WE HAVE READ AND UNDERSTAND THE FOREGOING AND AGREE TO SUBMIT DISPUTES ARISING OUT OF THE MATTERS INCLUDED IN THE ¿ARBITRATION OF DISPUTES’ PROVISION TO NEUTRAL ARBITRATION.’

(Bus. & Prof.

Code, § 7191, subd. (b).) Section 7191, subdivision

(b) goes on to state that “[i]f the above provision is included in a printed contract, it shall be set out either in at least 10-point roman boldface type or in contrasting red print in at least 8-point roman boldface type, and if the provision is included in a typed contract, it shall be set out in capital letters.” (Ibid.)

Section 7191,

subdivision (c) sets forth the consequences if an arbitration provision does not comply with the requirements of subdivisions (a) and (b). It states that “[a] provision for arbitration of a dispute between a principal in a contract for work on a residential property with four or fewer units that does not comply with this section may not be enforceable against any person other than the licensee.” (Bus. & Prof. Code, § 7191, subd. (c).)

In *Woolfs v.*

Superior Court (2005) 127 Cal.App.4th 197, the Court of Appeal held that an

arbitration provision that fails to meet the strictures of section 7191 is unenforceable by a contractor against a homeowner. The holding is unequivocal: “the plain and commonsense meaning of section 7191, subdivision (c) is that it prohibits enforcement of a noncompliant arbitration provision against anyone other than the licensee, leaving no room for any exercise of discretion by the trial court.” (Id., at p. 209.)

Here, the arbitration provision in section 14.2 of the Agreement does not comply with Business and Professions Code section 7191. For one, it is not clearly titled “ARBITRATION OF DISPUTES” in capital letters as required by section 7191, subdivision (a). Additionally, it does not contain anything that remotely resembles the form of notice required by section 7191, subdivision (b). The Court of Appeal decision in Woolls thus renders the arbitration provision in the Agreement unenforceable under section 7191.

W&B has no answer to the Court of Appeal decision in Woolls. In a supplemental declaration that accompanied W&B’s reply brief in support of the motion, Patel states that, on W&B’s behalf, he gave ample notice of the arbitration provision to Webb in his communications with about the Agreement. According to W&B’s reply, this means that Webb is not entitled to the protections of section 7191. Woolls forecloses this argument.